

24STCV01060 24STCV01060

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Case Number: 24STCV01060 Hearing Date: August 28, 2026 Dept: 1

Tentative Ruling

Judge Theresa M. Traber, Department 1

HEARING DATE: August 28, 2026

CASE: Terry Cook v. Defense International Corp. et al.

CASE NO.: 24STCV01060,
related to 24STCV27985

MOTION

TO APPROVE PAGA SETTLEMENT

Moving Party: Plaintiffs Terry Cook (Arin James
APC) and Nestor Flores (Bradley/Grombacher, LLP)

Ruling: Motion is tentatively

DENIED due to insufficient showing of the necessity for installment payments
and the fact that no disbursements will be made until all installments are
paid.

Plaintiffs Terry Cook and Nestor Flores (Plaintiffs)

request approval of a Private Attorneys General Act (PAGA) settlement between

themselves and defendant Defense International Corporation (Defendant). The operative First Amended Complaint (FAC)
alleges

claims for PAGA penalties arising from violations of Labor Code sections 201-204,
201.3, 210, 226, 226.3, 226.7, 450-451, 510, 512, 558, 1174, 1174.5, 1194,

1194.2, 1197, 1197.1, 1198, and 2802.

LEGAL STANDARDS

Procedural Requirements

Under Labor Code section 2699(l)(2): “The superior court shall review and approve any settlement of any civil action filed pursuant to this part. The proposed settlement shall be submitted to the agency at the same time that it is submitted to the court.” (Lab. Code.

§2699(l)(2); see *Williams v. Superior Court* (2017) 3 Cal.5th 531, 549

[noting in passing that “PAGA settlements are subject to trial court review and approval, ensuring that any negotiated resolution is fair to those affected.”])

Reasonableness of Settlement

PAGA was

enacted to aid public agencies, which lack adequate funding, in enforcement of California's labor laws. Private persons suing under the PAGA do so as proxies of the state. (*ZB, N.A. v. Superior Court* (2019) 8 Cal.5th 175, 185 (Lawson).) Aggrieved employees suing under the PAGA are authorized to recover civil penalties, which advances a law enforcement function, designed to protect the public. (*Ibid.*, citing *Arias v. Superior Court* (2009) 46 Cal.4th 969, 986 (Arias) and *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348 (Iskanian)).) Labor Code §2699(l)(2) requires courts to “review and approve any settlement of any civil action filed pursuant to this part.” The California Supreme Court explains that a PAGA claim is a form of a *qui tam* action. (*Iskanian, supra*, 59 Cal.4th 348, 382.)

As such, the

Court looks to the standards for evaluating a *qui tam* settlement in assessing this settlement, that is, whether the settlement is “fair, adequate, and reasonable.” (Cf. Cal. Govt. Code § 12652 [In a *qui tam* action a state or political subdivision may settle the action with the defendant notwithstanding the objections of the *qui tam* plaintiff if the court determines, after a hearing providing the *qui tam* plaintiff an opportunity to present evidence, that the proposed settlement is fair, adequate, and reasonable under all the circumstances].)

An application

for approval of such a settlement must demonstrate that the proposed settlement is adequate, reasonable, and fair to all those affected by it. (Williams v. Superior Court (2017) 3 Cal.5th 531, 549.) Those affected by a PAGA settlement include: (1) the LWDA, who receives 75% of settlement funds (Lab. Code § 2699(i)) and is “bound by the outcome of the proceeding to adjudicate the employee’s PAGA claim” (Mejia v. Merchants Building Maintenance, LLC, supra, 38 Cal.App.5th at p. 732); (2) the aggrieved employees, both party and non-party, who receive 25% percent of settlement funds and are, like the LWDA, bound by a PAGA action judgment (Lab. Code § 2699(i); Arias v. Superior Court (2009) 46 Cal.4th 969, 985); (3) plaintiffs’ counsel, who may be awarded “reasonable attorney’s fees and costs” (Lab. Code § 2699(g)(1); and (4) the defendant who pays the settlement.

Assessing the

fairness and adequacy of any settlement necessitates decision-making based on unknowns. In determining whether a settlement falls within the parameters of what may be considered reasonable, courts regularly rely on estimates of potential maximum values weighed against weaknesses of the claims. Other important indicia of fairness include arms’-length negotiations, experienced counsel, and an adequate investigation of the claims. But the potential value of the claims being settled is primary to any evaluation. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1802; Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 129-130.)

DISCUSSION

The proposed

settlement is for a gross amount of \$300,000.

1.

Notice to the LWDA

Labor Code section 2699(l)(2) requires that the settlement be provided to the Labor Workforce Development Agency (LWDA) at the same time as it is presented to the court.

The settlement was submitted to the LWDA on July 13, 2026, three days after the motion was filed.

(See Supplemental Norijanian Decl., ¶ 3, Ex. 7.) While a bit late, this is still substantially

compliant with the statute and fulfills the purpose of LWDA notification. The LWDA has not responded. The Court therefore finds this requirement

met.

2.

Fairness of the Settlement

a.

Presumption of

Fairness

Under

Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, a

presumption of fairness exists where “(1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (Id. at 1802.)

The

settlement has been reached through arm’s-length bargaining. The parties engaged in informal discovery, and Plaintiffs obtained information and documents such as “(1) the total number of Aggrieved Employees; (2) the total number of pay periods worked by the Aggrieved Employees; (3) employee handbooks in effect during the relevant time period; (4) a sample of the time and corresponding payroll records of the Aggrieved Employees from October 25, 2010 to September 22, 2024; and (5) financial information and data for Defendant and the individual Defendant Chaz McKinney.” (Norijanian Decl., ¶ 16.) Plaintiffs retained an analyst to analyze the documents and calculate Defendant’s liability. (Id., ¶ 17.) On June 10, 2025, the parties conducted a mediation, after which the matter settled, although it is not clear whether it settled at the mediation, after the mediation through a mediator’s proposal, or by the parties’ own initiative. (Id., ¶ 18.) Nonetheless, the Court is satisfied that the settlement was reached in good faith and is entitled to a presumption of fairness.

b.

Breadth of Release

The

release provision in the settlement agreement applicable to aggrieved employees reads:

5.2 Release by Aggrieved Employees:

All Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaints and the PAGA Notices.

(Norjianian
Decl., Ex. 1, § 5.2.)

This release uses the Court's standard form and is appropriately bounded to PAGA penalties arising out of the facts stated in the operative complaint and PAGA notices, and will be approved.

c. Amount of Attorney Fees and Costs

Plaintiffs request \$100,000 in attorney fees to Plaintiffs' counsel, which is one-third of the settlement amount. The requested fees are appropriate and will be approved.

Plaintiffs' counsel request \$20,191.19 in litigation costs.
(See Norjianian Decl., Ex. 4; Bradley Decl., Ex. 1.) These costs appear reasonably incurred and reasonable in amount, and will be approved.

Plaintiffs request up to \$10,000 in settlement administration expenses to be paid to CPT Group, Inc., who provides a bid in that amount.
(See Green Decl., Ex. B.) These will be approved.

d.
Gross
Settlement Amount

The \$300,000 settlement represents penalties for a PAGA period of approximately 20,000 pay periods worked by approximately 2,456 employees. This is about \$10.00 per pay period and an average of about \$122.15 per employee, prior to fees and costs. The Court is satisfied that the gross settlement amount is fair and reasonable under the circumstances.

e.

Division
of Civil Penalties

"[C]ivil penalties recovered by aggrieved employees shall be distributed as follows: 75 percent to the Labor and Workforce Development Agency for enforcement of labor laws, including the administration of this part, and for education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 25 percent to the aggrieved employees." (Former Labor Code § 2699(i).)

"Except as provided in subdivision (n), civil penalties recovered by aggrieved employees shall be distributed as follows: 65 percent to the Labor and Workforce Development Agency for enforcement of labor laws, including the administration of this part, and for education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 35 percent to the aggrieved employees." (Current Lab. Code § 2699(m).)

The 65-35 breakdown applies to civil actions filed after June 19, 2024. (Lab. Code § 2699(v)(1).)

This action was filed on November 16, 2024. The civil penalties in the settlement are properly divided according to the calculation applicable to a case filed before June 19, 2024.

f.

Escalator
Clause

The settlement provides that if the number

of pay periods is more than 15% above the estimated figure (i.e., inflated by more than 3,000 pay periods), Defendant can either proportionally increase the gross settlement amount to account for the amount in excess of 15% or modify the release date in the PAGA period “to a date in which the actual number of pay periods does not exceed 15%.”

(Norjianian Decl., Ex. 1, § 8.2).

This is proper, so long as the modified cutoff date is the date closer to the present (i.e. stopping the PAGA period at a date that 23,000 pay periods were worked, rather than stopping the PAGA period at the present and counting back 23,000 pay periods) so that no PAGA claims drop off in the past. With that understanding, the Court will approve the escalator clause.

g.

Funding
of Settlement

The settlement will be funded through in 20 installment payments of \$15,000, with no payments to be made from the settlement fund until the full \$300,000 is funded. (Norjianian Decl., Ex. 1, § 4.2.) Installment settlements carry a greater risk of default, as economic conditions may change in the future and cause the defendant to stop making payments. This leads to further litigation and court involvement, as well as delay in getting the LWDA and aggrieved employees the funds due to them. For these reasons, the Court does not typically approve installment payments without some evidence of financial distress or other circumstances providing good cause for installment payments.

All Plaintiffs provide is the statement by counsel that “[b]ased on the financial information provided at the mediation, further investigation showed that class certification is not economically appropriate. Based on counsel's evaluation and the aid of the mediator, the only reasonable solution that benefited some of the class and PAGA members and the Plaintiffs was a PAGA settlement for \$300,000 to be paid over installments.” (Norjianian Decl., ¶ 28.) This is not sufficient. The Court notes that the mediation was conducted a year ago, and the settlement inked just under a year ago. (See Norjianian Decl., Ex. 1, p. 14.) Defendant has been conducting business all this time and may reasonably be expected to be able to pay more than \$15,000 up front. Under the proposed framework, it will be nearly three years after the settlement before the aggrieved employees and LWDA receive any money.

The Court proposes the following. First, Defendant must provide a declaration regarding the its financial condition to support the propriety of an installment-based funding plan and assuring the Court that Defendant's financial condition will permit future payments to be made. Second, the Court proposes a revised payment plan that provides for accelerated funding that will permit earlier payments to aggrieved employees and the LWDA. The payment of aggrieved employees is the most complicated administrative task, and should be funded first (totaling \$51,952.20, including the administration fee), either by a lump sum or by large installments (if appropriate) as soon as there are sufficient funds paid to do so. Next, the LWDA must be paid (it is due \$125,856.61 under the settlement) as soon as there are sufficient funds to do so. Finally, the attorneys who have been ensuring the first two payments are made receive their fees and costs. That way, those least able to bear the risk of nonpayment are paid first, while counsel will remain motivated to ensure the settlement payments are completed or to promptly seek court involvement if they are not. These are merely suggestions, but the fact is that the Court cannot approve the installment payments on the current record, and there is no reason to delay payment to the aggrieved employees and LWDA until all 20 payments are made.

h.

Service

Award

Plaintiffs each request a service award of \$1,000. These are reasonable in light of their work on the case and service to the aggrieved employees (see generally, Cook Decl. and Flores Decl.), and the Court will approve them.

Summary of Tentative Monetary Terms

Attorney Fees:

\$100,000.00

33.33%

Net Settlement Amount:

\$167,808.81

To the LWDA:

\$125,856.61

75%

To aggrieved employees:

\$41,952.20

25%

Litigation

Costs

\$20,191.19

Settlement Administration

\$10,000.00

Service

Award to Plaintiffs

\$2,000.00

Total Settlement Amount:

\$300,000.00

100%

CONCLUSION

For the foregoing reasons, the Court's tentative ruling is to DENY the motion, due to the issues with the installment payments and the disbursement schedule. The settlement is otherwise in order.

Plaintiffs to give notice.